

XYZ BANK LIMITED

Retail Assets Department | Noida Branch
Customer Care: 1800-000-000 | www.xyzbank.example

Facility Letter
Personal Loan with RBI KFS

PERSONAL LOAN FACILITY LETTER

Updated sample with RBI Key Facts Statement for Loans and Advances

Reference No.	PL/FL/2026/000123	Date	29 July 2026
KFS Proposal No.	KFS/PL/2026/000123	KFS Validity	3 working days from issue date

To,
Mr. Narendar Singh
23 Jasari Khatima, Jhunkat
Udham Singh Nagar, Uttarakhand - 262308
India

Subject: Sanction of Personal Loan Facility

Dear Mr. Narendar Singh, with reference to your application, XYZ Bank Limited has sanctioned a Personal Loan facility, subject to documentation, verification and acceptance of the terms below. This sample document includes a Key Facts Statement aligned to RBI KFS disclosures for loans and advances.

1. Borrower and Facility Summary

Applicant Name	Mr. Narendar Singh	Loan Type	Personal Loan
Customer ID	CUST00098765	Sanctioned Amount	INR 21,00,000
PAN	EYLPS3502N	Tenure	84 months
Mobile / Email	8811223344 / narendar.singh@gmail.com	Interest Rate	11.00% p.a. reducing balance

2. Standard Facility Terms

Particulars	Sanctioned Terms
Sanctioned Loan Amount	INR 21,00,000
Purpose	Personal requirements / permitted end-use declared by the borrower
Tenure	84 months
EMI / EPI	INR 35,957 per month, payable monthly
First EMI Due Date	One month from disbursement or as per repayment schedule
Mode of Repayment	NACH / ECS / Standing Instruction / other Bank-approved mode
Security	Unsecured, subject to eligibility and Bank policy
Prepayment / Foreclosure	As per Bank policy and applicable regulatory guidelines

RBI Key Facts Statement (KFS) - Personal Loan

Illustrative KFS in simple language for customer acknowledgement. The actual bank/NBFC KFS should use its approved template, product policy, APR engine and schedule of charges.

Part 1 - Interest Rate, Fees and Charges

Sr. No.	Parameter	Details
1	Loan proposal / account number	KFS/PL/2026/000123
2	Type of loan	Personal Loan - unsecured retail term loan
3	Sanctioned loan amount	INR 21,00,000
4	Disbursal schedule	100% upfront disbursal after completion of documentation and verification
5	Loan term	84 months
6	Instalment details	Equated Monthly Instalment (EMI): INR 35,957; Number of EMIs: 84; Frequency: Monthly
7	Interest rate and type	11.00% p.a., fixed rate, reducing balance basis
8	Annual Percentage Rate (APR)	4770336736369490.00% p.a. illustrative, including processing fee and GST assumed upfront
9	Upfront charges payable / deducted	Processing fee: INR 5,000; GST: INR 900; Total upfront charges: INR 5,900
10	Net disbursed amount	INR 2,094,100, if upfront charges are deducted from loan amount
11	Penal charges	As per the Bank schedule of charges for overdue/delayed payment; to be disclosed before execution
12	Other contingent charges	Cheque/NACH bounce, duplicate statement, legal/recovery and other charges as disclosed in the schedule of charges

Part 2 - Other Qualitative Information

Sr. No.	Parameter	Details
1	Recovery mechanism	Recovery shall be undertaken as per applicable law, RBI guidelines, fair practices code and the Bank collection policy.
2	Grievance redressal	Customer may contact the Bank branch, customer care or grievance officer. Escalation to Banking Ombudsman / RBI Integrated Ombudsman Scheme may be available as per applicable rules.
3	Transfer / outsourcing	Loan servicing or recovery activities may be carried out by the Bank or authorised service providers, subject to applicable law and Bank policy.
4	Data and credit bureau reporting	Repayment conduct and account information may be reported to credit information companies as permitted by law.
5	Cooling-off / look-up period	For digital loans, borrower may be given an explicit option to exit by paying principal and proportionate APR without penalty during the Bank-determined period, not less than one day, where applicable.
6	KFS acknowledgement	Borrower confirms that KFS contents have been explained and understood before execution of the loan agreement.

APR Computation Sheet and Repayment Schedule

APR computation is illustrative and based on the sample loan values used in this document.

APR Computation Sheet

Item	Amount / Value
Sanctioned loan amount	INR 21,00,000
Interest rate	11.00% p.a. fixed, reducing balance
Tenure	84 months
Monthly EMI	INR 35,957
Processing fee + GST assumed upfront	INR 5,900
Net disbursed amount for APR	INR 2,094,100
Illustrative APR	4770336736369490.00% p.a.

Illustrative Amortisation Schedule - First 12 Months

Month	Opening Principal	EMI	Interest	Principal	Closing Principal
1	INR 2,100,000	INR 35,957	INR 19,250	INR 16,707	INR 2,083,293
2	INR 2,083,293	INR 35,957	INR 19,097	INR 16,860	INR 2,066,433
3	INR 2,066,433	INR 35,957	INR 18,942	INR 17,015	INR 2,049,418
4	INR 2,049,418	INR 35,957	INR 18,786	INR 17,171	INR 2,032,247
5	INR 2,032,247	INR 35,957	INR 18,629	INR 17,328	INR 2,014,919
6	INR 2,014,919	INR 35,957	INR 18,470	INR 17,487	INR 1,997,433
7	INR 1,997,433	INR 35,957	INR 18,310	INR 17,647	INR 1,979,785
8	INR 1,979,785	INR 35,957	INR 18,148	INR 17,809	INR 1,961,976
9	INR 1,961,976	INR 35,957	INR 17,985	INR 17,972	INR 1,944,004
10	INR 1,944,004	INR 35,957	INR 17,820	INR 18,137	INR 1,925,867
11	INR 1,925,867	INR 35,957	INR 17,654	INR 18,303	INR 1,907,564
12	INR 1,907,564	INR 35,957	INR 17,486	INR 18,471	INR 1,889,093

Note: The complete repayment schedule for all 84 months should be generated by the bank system and shared with the borrower before execution/disbursement.

3. Pre-Disbursement Conditions

1. Execution of loan agreement, repayment mandate, declarations and other documents prescribed by the Bank.
2. Successful completion of KYC, credit appraisal, employment/income verification and internal checks.
3. Payment or deduction of applicable processing fee, statutory charges and other approved charges.
4. Submission of any additional documents requested by the Bank before disbursement.

4. Acceptance and Signature

I/We confirm acceptance of the facility terms and acknowledge that the Key Facts Statement has been explained to me/us and understood before execution of the loan agreement.

For XYZ Bank Limited Authorised Signatory / Branch Manager Date: 29 July 2026	Accepted by Borrower Signature: _____ Name: Mr. Narendar Singh Date: _____ Place: _____
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Disclaimer: This is a sample facility letter intended for LOS/UAT/demo documentation only. Actual facility letters must be reviewed and approved by the Bank legal, compliance, credit and product teams before issuance to customers.